

ISRAEL 2014

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1. Overview of the tax-benefit system

National Insurance

The National Insurance Institute of Israel (NII) is the national institution of social security, operating under the National Insurance Law passed by the Parliament in November 1953.

The main role of the NII is to ensure a means of subsistence to those Israeli residents who cannot earn a living on their own. The NII is the main instrument for reducing poverty; it contributes substantially to the reduction of economic gaps in Israel and guarantees social and economic protection to every resident and family at times of temporary or prolonged distress. The social security is provided by means of about a hundred different benefits paid by the NII to persons entitled to them under the law, as well as by means of rehabilitative and social services.

The NII collects insurance premiums, or contributions, from all residents aged 18 or over in accordance with their income (from wages or other sources) and status: employer, employee, self-employed or non-working. In addition, as of January 1995, the NII is responsible for collecting health insurance contributions under the National Health Insurance Law and distributing them to the various sick funds.

All residents of Israel are covered by the NII, and the main social security benefits paid may be divided into the following categories:

1. Benefits given due to physical (health) condition: Long-term care, Disability, Mobility, Work injury, Accident injury, Hostile action casualties, Domestic violence, Radiation, Transfusion-acquired HIV, Polio victims;
2. Benefits given due to employment condition: Income support, Unemployment; Rights of volunteers;
3. Benefits given due to family situation: Survivors, Alimony, Children, Maternity;
4. Other benefits: Old age, Prisoners of Zion and Martyrs, Righteous gentiles, Reserve service, Bankruptcy or Liquidation of companies.

This document does not refer to all the above benefits, but rather only to those relevant to the questionnaire.

General information:

1. Basic amounts:

As of January 2006, most national insurance benefits, the value of which had been frozen in the framework of the Economy Arrangement Laws for 2002 and 2003, again became adjusted. However, from this date they are calculated according to the *basic amount*, rather than according to the average wage, as previously. The basic amount is updated on the 1st of January of every year at the rate of the rise on the cost-of-living index in the previous year. The basic amount is actually composed of three different sums for the various types of benefits, and was increased by 2.7% in January 2006.

In January 2014 the sums are:

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Basic amount [1]	Basic amount [2]	Basic amount [3]
NIS 8,757	NIS 140	NIS 8,648
Death grant Bar Mitzvah grant Long-term care benefit General disability pension Birth grant Maternity allowance Work injury benefit Accident injury allowance Volunteers' benefit	Child allowance	Other benefits Calculation of maximum income for purposes of collection of contributions

1. Average wage:

The reference in this document is to average wage according to Article 2 of the National Insurance Law for calculating parameters of benefits and collection.

In **January 2014** this average wage is NIS 9,089.

Using version of ISIC 3, B-I industries (the very close equivalent of C-K industries in ISIC 3.1), in that year, the average worker in Israel earned NIS 9363 per month (annual amount: NIS 112,356).

1.1. *Average Worker's wage (AW)*

In 2014, the Average Worker (AW) wage was NIS 130,605 (annual amount).

2. Unemployment benefits

Every Israeli resident who is an employee, at the age of 18 or over and under the *retirement age* as defined by law, is covered in unemployment insurance.

There is a monthly unemployment benefit, as well as a few grants given to special groups. There are specific conditions for receiving those grants, detailed as “particular groups” in each chapter.

The grants given are:

- Person working in low wages
- Person in vocational training.
- Daily unemployment benefit to unemployment person referred to working at “*unsuitable*” work

General definitions:

Work is considered ***suitable work*** if it meets these 3 conditions:

- a) A type of work at which the unemployed person worked in the 3 years preceding his unemployment, or any other work suiting the persons professional training, education level and health condition;
- b) The wages of the work offered are at least equal to the unemployment benefit which would be due to him, were he entitled to it;
- c) The work offered does not require a change in residence (according to the rules which have been determined).

Determining date: The 1st of the month in which the unemployment period began, on condition that at least 12 months have elapsed from the first of the month in which the previous unemployment period began.

2.1 ***Conditions for receipt***

- Registration at a labour exchange as lacking work, and being ready and able to work at any *suitable work*, and the labour exchange has not offered such work;
- Age 20 to *retirement age*;
- Fulfilment of a minimum period of insurance.
- Person working at low wages:
 - An unemployed person.
 - Was referred to work at wages lower than unemployment benefit due to him
 - Worked at this work for at least 25 days
 - Did not use up the maximum period for payment of unemployment benefit
- A person in vocational training

2.1.1 ***Employment conditions***

- Unemployment benefit qualifying period is 12 work months for which insurance contribution were paid out of the 18 months prior to *determining date*

2.1.2 Contribution conditions

Insurance contributions (July 2013):

	<u>Full rate</u>	<u>Reduced rate</u> ¹
Employee	0.21%	0.01%
Employer	0.12%	0.03%
Government:		
For employee	0.06%	0.06%

The Ministry of Defense finances the cost of the unemployment benefit to *demobilized soldiers* released from the standing army.

In Israel young people at the age of 18 must serve in the Israeli Defense Forces (IDF). The duration of service is at least 2 years. According to the *Demobilized Soldiers Law*, soldiers released from the army, after fulfilling their army duties, are entitled to several benefits. Those benefits will usually be detailed in this document as “particular groups” at each chapter.

All income of workers, including convalescence grant, vehicle maintenance and telephone expenses, is liable for insurance contributions.

Insurance contributions are paid on income that is not higher than the ceiling that has been determined. The monthly income ceiling for contribution purposes is equal to five times the *basic amount* [3] (basic amount: NIS 8,648), for all insured person and employers (NIS 43,240 per month).

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The benefit is calculated on the basis of daily average wage of the unemployed person during the last 75 workdays of qualification period. For the first 125 days of payment in the unemployment year, the daily unemployment benefit may not exceed the daily average wage. Beginning with the 126th day of payment, the daily unemployment benefit shall not exceed 2/3 of the daily average wage.

¹ Reduced rates of insurance contributions are paid on the share of income that is up to 60% of the *average wage*. The regular rate is paid on the remaining share of income.

January 2013

Gross salary subject to insurance contributions (NIS)		Unemployment Benefit, for those aged 28 or over			Unemployment Benefit, for those below the age of 28		
Monthly	Daily	per day (NIS)	per month (based on 25 days)	as % of salary	per day (NIS)	per month (based on 25 days)	as % of salary
3,000	120	96	2,400	80%	72	1,800	60%
4,000	160	128	3,200	80%	96	2,400	60%
5,000	200	151.90	3,798	76%	114.9	2,865	57%
6,000	240	171.90	4,298	72%	129.9	3,265	54%
7,000	280	190.88	4,772	68%	145.58	3,640	52%
8,000	320	208.88	5,222	65%	159.58	3,990	50%
9,000	360	224.78	5,620	62%	172.18	4,305	47%
10,000	400	236.78	5,920	59%	182.18	4,555	45%
11,000	440	248.78	6,220	57%	192.18	4,805	43%
12,000	480	260.78	6,520	54%	202.18	5,055	42%
13,000	520	272.78	6,820	52%	212.18	5,305	40%
14,000	560	284.78	7,120	51%	222.18	5,555	39%
15,000	600	296.78	7,420	49%	232.18	5,805	38%
16,000	640	308.78	7,720	48%	242.18	6,055	38%
17,000	680	320.78	7,020	47%	252.18	6,305	37%
18,000	720	332.78	8,320	46%	262.18	6,555	36%
19,000	760	344.78	8,620	45%	272.18	6,805	36%
20,000	800	356.78	8,920	45%	282.18	7,055	35%
25,000	1,000	363.56	9,089	36%	332.18	8,305	33%

* Maximum daily unemployment benefit – NIS 363.56 for the first 125 days of payment.

As of the 126th day of payment, the maximum is NIS 242.37.

- Person working at low wages: payment calculated for every day at the rate of the difference between actual wage and 75% of the wage, which served as the basis for calculating the unemployment benefit.
- A person in vocational training. An amount equivalent to the difference between the payment given him during training, and 70% of the unemployment benefit to which he would have been entitled had he been unemployed.
- Daily unemployment benefit to unemployment person referred to ones working at "unsuitable" work: Payment at the rate of the difference between the average daily income from the work and an amount equivalent to the unemployment benefit or an amount equivalent to 75% of the average daily wage which served as the basis for calculation of the unemployment benefit – if the latter difference is higher.

2.2.2 *Income and earnings disregards*

For a person receiving an old-age pension, the entire pension is deducted from the unemployment benefit due to him.

2.3 *Tax treatment of benefit and interaction with other benefits*

The income taxes on the unemployment benefit are at the rate of the parallel income amount received from work.

National Insurance is deducted from this benefit at the minimum rate of NIS 21 per month (as of 1.1.2014).

Health insurance is deducted from this benefit at a rate equivalent to that deducted from income from work.

2.4 *Benefit duration (maximum)*

- 175 days for an unemployed person aged 35 to 45 with at least 3 dependents;
- 138 days for an unemployed person aged 35 to 45 with less than 3 dependents.

Within a 4-year period, an unemployed person under the age of 40 shall not be paid an unemployment benefit for a period exceeding 180% of the maximum period to which he is entitled. The rate of the unemployment benefit for additional period (beyond 100% of the maximum period) shall not be over 85% of the maximum daily unemployment benefit.

- Person working at low wages the grant is paid for the maximum period of 150 work days, in 2 payments: the first after 75 work days and the second after every additional 25 work days.
- A person in vocational training. Maximum period of payment under the law. For a person with less than 12 years of schooling receives benefit for up to 138 days even if his maximum period **less than 138 days, up to the maximum period for payment under law.**
- Daily unemployment benefit to unemployed person referred to ones working at "unsuitable" work: for the first 60 days after the beginning of his unemployment.

2.4.1 *Waiting period before benefit can be received*

Unemployment benefit is not paid for the first five unemployment days in each period of four consecutive months from the *determining date*.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

- **The qualifying period** for minors is 100 days for which insurance contributions were paid out of the 360 days prior to the *determining date*.
- **Benefit duration:**
 - 67 days for an unemployed person aged 25 to 28 less than 3 dependents;
 - 50 days for an unemployed person under 25 less than 3 dependents.
 - 138 days for an unemployed person under 35, with at least 3 dependents.

Grants for minor aged 15-18 who took part in vocational training during the period of his unemployment, and if no suitable work training was found for him, on condition that he worked previously and participated in the support of his family at a scope of at least 20%. **The amount is calculated by** the rate of participation in supporting parents and to wages during the qualifying period, within the limits of half the *average wage*.

2.5.2 Older workers

- **Benefit duration:** 175 days for an unemployed person aged 45 or over.

2.5.3 Others if applicable:

a. Demobilized soldier:

The minimum daily unemployment benefit for a demobilized soldier is determined on the basis of the daily average wage, calculated as 60% of half the *basic amount* [3] (basic amount [3] : NIS 8,648), but no more than 80% of the minimum wage.

Furthermore, a demobilized soldier who works at a job recognised as a *preferred/required* job (at unsuitable work) may be eligible for a **grant** at the rate of half the unemployment benefit due to him for a period of 138 days.

Demobilized soldier who worked at a job recognised as a *preferred/required* job that fulfils certain conditions (detailed in the “National Insurance programs in Israel”) is entitled to partial grant.

The amount is calculated by the relative part of the full grant in accordance with the number of workdays at the *preferred/required* job, out of the 150 days entitling one to the full grant.

The grant is tax deductible and treated as an income by the Income Tax Authority.

Benefit duration: 70 days

- b. **Following decease:** to widow of person (or in absence thereof, to his child) who had received an income support benefit in his lifetime – a lump-sum grant of an amount equivalent to the *basic amount* [1] –as it was 1st January (NIS 8,757).

3. Unemployment assistance

There is no distinct unemployment assistance benefit in Israel.

4. Social assistance

Income support benefit: A benefit paid to a person who is not capable *of providing for himself by means of* income from work, and who is not eligible for payment from any other source. A partial benefit (income supplement) is paid to a person whose income from work or from any other source is lower than the minimum income level for subsistence, determined by law.

4.1 Conditions for receipt

- Continuity of residence: Israeli resident for 24 consecutive months preceding the submission of claim;
- Aged 20 and over;
- The incomes of claimant and spouse are lower than the minimum level determined in the law;
- The employment test is required for a person claiming the benefit and his spouse, who are one of the following:
 - **Unemployed** and registered with the Employment Service, from which he is requesting work under the rules determined by the Employment Service and which has not offered him to any work suited to his health and physical condition, or which referred him to vocational diagnosis and rehabilitation.
 - A person who refuses to accept work offered to him or refuses to cooperate is not entitled to benefit for two months
 - A person receiving an unemployment benefit which is lower than the amount of the income support benefit is entitled to an income supplement, provided that he also reports to the income support section of the Employment Service and is prepared to take any work that is offered to him.
- The employment test for the income support benefit applies to the claimant and his spouse. If the spouse does not satisfy the employment test, there is no entitlement to benefit. It should be noted that there are persons exempt from the employment test, such as a mother of a child up to two years old.

4.2 Calculation of benefit amount

The income support benefit has a number of rates. Each rate can be paid fully (*income support*) or partially (*income supplement*). Following are the various benefit rates as percentage of the *basic amount* [3] – NIS 8,487.

4.2.1 Calculation of gross benefit

For those under the age of 55 (for those aged 55 or over, see paragraph 4.5.2):

Who had been entitled to regular rate in December 2002 or who began receiving benefit in January 2003: individual - 20%; couple – 27.5%; couple with one child - 30%; couple with two or more children – 33.5%.

Who had been entitled to increased rate in December 2002: individual – 22.5%; couple – 30%; couple with one child – 33.5%; couple with two or more children – 39%.

4.2.2 Income and earnings disregards

In the income test for entitlement to the income support benefit, the amount of income (from work and pension) not considered as income is: NIS 454 for an individual under age 55, NIS 636 for a

person under age 55 with dependents, NIS 1,182 for an individual aged 55 or over, and NIS 1,545 for a person aged 55 or over with dependents.

Above this income, the benefit is decreased by one shekel for every shekel of income from pension (100%) and by 60%-70% — depending on family composition — of income from work.

As a result, the maximum income from work that still entitles one to the minimum benefit is: single, NIS 2,865; couple, NIS 3,952; couple with one child NIS 4,390; couple with two or more children, NIS 5,167, lone-parent with one child, NIS 5,356; lone-parent with two or more children, NIS 6,135.

4.3 Tax treatment of benefit and interaction with other benefits

Health insurance is deducted from this benefit at the minimum rate of NIS 103 per month.

4.4 Benefit duration

For an unlimited time, as long as the conditions of entitlement to benefit are fulfilled.

4.5 Treatment of particular groups

4.5.1 Young persons

For those under the age of 25 who are not defined as one of the exceptions set down in the law: the benefit rate is 80% of the rates listed above in (see 4.2.1.)

4.5.2 Older workers

For those aged 55 or over:

The increased rate is paid: individual - 25%; couple – 37.5%; couple with one child – 43.5%; couple with two or more children – 49.5%.

4.5.3 Others if applicable

a. New immigrants: Conditions for receipt: 12 accumulative months of residence preceding the submission of claim.

b. Widows, separated persons and single parents:

for those under the age of 55: with one child – 33.5%; with two or more children – 39%.
for those aged 55 or over: with one child – 42.5% (less one *basic amount* [2] (basic amount: NIS 40)
with two or more children – 52.5% (less one *basic amount* [2])

c. Rate for children: orphan or abandoned child:

One child – 25% (less one basic amount [2])
Two children – 37.5% (less two basic amounts [2])
Each additional child – 10%.

- d. Young persons under the age of 20** are entitled to the benefit as one of the exceptions set down in the law, such as a parent of a child in his custody, or pregnant and not living with parents provided that one of them receives an income support benefit, an orphan or an abandoned child.
- e. The following may be entitled at the age of 18 or over:** those who lack the capacity to work due to illness, released prisoners, prisoners working at service jobs, persons in severe distress.
- f. Following deceased: to widow** of person (or in absence thereof, to his child) who had received an income support benefit in his lifetime – a lump-sum grant of an amount equivalent to the *basic amount* [1] NIS 8,757 as it was 1st January.
- g. Alimony/child support payments:** for purposes of the income support benefit, the amounts of alimony or child support are deducted from the amount of the income of a person who pays alimony or child support under a court judgment to a wife or child not living with him. However, the deducted amount may not exceed the income support benefit due to him according to the composition of his family.

5. Housing benefits

The housing benefits are under the authority of the Ministry of Construction and Housing

In January 2014 the Public Housing Law (1998) has been modified coming into effect from 01.01.2013 for the following 5 years.

Tenants who live in public housing apartments were entitled (if interested) to purchase those apartments in up to 70% (87.5% for disabled) markdown to a maximum amount of 881,250 NIS, under the following conditions:

- Living in the apartment for at least last 5 years,
- During the residency in public housing did not own an apartment (partially or completely)
- Holding a certificate proving that he/she are lacking an apartment.

In June 2014 the rental assistance extended to all areas including small locality.

Housing Benefits:

- A. Public housing: An "inventory" of apartments that belongs to the state for the use of those in need. Public housing benefit provides subsidized rental apartments.
It should be noted that there is an extended waiting period for public housing apartments. During this period a special assistance for rental accommodation is provided
- B. Rental Assistance– a grant given to singles, couples, families, elderly and or disabled persons meeting specific criteria as determined by the Ministry of Construction and Housing.

5.1 Conditions for receipt

All housing benefits are subject to a "credit system" which ranks eligibility for housing benefit (credit points of entitlement).

- A. Public housing: The inventory of apartments in public housing is very limited, therefore eligibility for this benefit is restricted to persons who are in a state of economic or functional stress:
- An individual or a family, who do not share rights partial or complete rights to an accommodation - existing or in building process.
 - Persons holding a certificate to prove that he/she are lacking an apartment.
 - Families:
 - Where both parents have accumulated at least 1400 "credit points".
 - That has 3 or more children.
 - Whose income is less than the maximum amount of social security that a couple with 2 children can receive.
 - Working to their full earning capacity.
- B. Housing assistance:
- An individual or a family, who do not share partial or complete rights to an accommodation - existing or in building process.
 - A person with an apartment, which is registered in his name under the following conditions:
 - The apartment is not available to him;
 - A close family member is living in that apartment (sister, brother, mother, father);

- The family member did not and does not have any other apartment registered in his name;
- The family member has not received any housing assistance.

5.2 **Calculation of benefit amount**

The amount of benefit is calculated by "credit score" system. This score is relevant only for mortgages and public housing benefits.

The "credit score" is determined by several parameters: family situation, number of children in the family, number of siblings of each parent, other benefits given to the family, age, income, benefits for particular groups, and living areas.

Calculation of gross benefit

- A. Public housing: provides accommodation for those who fulfill conditions (as mentioned above).
- B. Rental assistance:

The benefit is calculated according to several parameters: those parameters determine the amount given for rental assistance.

The parameters include:

- Area of residence: Those who do not live in *priority development area* are entitled to larger benefits in accordance with higher rents required in these areas.
- Family situation: couples, single parent, singles
- Age - relevant only where singles are concerned.
- Number of children:
- Income test – for families with at least one parent working full time whose the total family income is low.
- Existence benefits, including: Earning disability benefit of at least 75% and an income support benefit.
- An increased rate of 10% is given to holocaust survivors, Second World War veterans or victims of the Chernobyl nuclear reactor disaster.

Calculation of assistance with paying the rent:

Most of the rental assistance is allocated to those who do not live in priority development areas. There is also a division between large and small locality both in locality that belongs to priority development areas and locality which are not included in the priority development areas Therefore the amounts range given is for all areas:

Category	2014 (NIS)
Individuals	370-580

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Aged 55+ receiving income supplement benefit	
Couples with no children	550-850
Lone parents/couples with children	
Up to 3 children (incl.)	760-1,250
4 children or more	950-1,500
Their income from wage is under 25% above the income level credit (grade 46):	
Up to 3 children (incl.)	480-1,170
At least 4 children	600-1,470
Waiting for public housing apartments (include Lone parents):	
Up to 3 children (incl.)	
4 children or more	875-2,500
	1,050-3,000

*The information above *does not* include *all* categories, for example: families that receive special income supplement benefit and as mentioned there are person entitled to additional rate of 10% above the assistance.

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

***Income test: the maximum wage in which the person is entitled to the benefit is as follows:

Entitled group	Grade 45 (In NIS)			Grade 46 (In NIS)			Grade 47 (In NIS)		
	May 2012	Apr 2013	Jan 2014	May 2012	Apr 2013	Jan 2014	May 2012	Apr 2013	Jan 2014
Couple	4,323	4,390	4,479	5,404	5,488	5,599			
Couple with child	4,757	4,830	4,928	5,946	6,038	6,160			
Couple with 2 or more children	5,825	5,914	6,033	7,281	7,393	7,541			
Lone-parent family							7,554	7,669	7,823

5.3 *Tax treatment of benefit and interaction with other benefits*

None

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None

5.4.2 *Elderly persons*

Housing benefit rates for the elderly person are increased:

- Families and individuals aged 55+ that receive an existence benefit are entitled to increased rental assistance.
- Those who receive a pension benefit with income supplement benefit are entitled to increased rental assistance.
- Elderly persons are also entitled to shelter housing as opposed to the inventory of apartments in their area of residency area.

5.4.3 *Others if applicable*

a. **Single parent:**

- The rates of benefits given to single-parent families are allocated according to two types of families: families with up to 3 children and families with 4 or more children.
- The rates for single-parent families range from NIS 480 to NIS 3,000, in accordance with various criteria.

b. New immigrants

There are two types of eligibility for assistance:

1. Immigrants entitlement based on seniority years - this benefit is given from the second year of residency and until the 5th year of residency ; the amount of benefit declines every year (max-min):

- a.

For families: NIS 402 - NIS 99

- b.

For individuals: NIS 223 - NIS 89

- c.

For single parents: NIS 402 - NIS 134

- 2.

Immigrants in their first years of residency, who immigrated between 15.8.2004 and 31.12.2008 and are entitled to rental assistance, receive between 100 NIS – 400 NIS rental payments according to their living areas, as appose to their years of residency.

- c. Lone soldiers** – soldiers whose families do not live in Israel are entitled to rental assistance amounting to NIS 402 per month while they are in-service

6. Family benefits

Child allowance:

Monthly allowance received by parents according to the number of children in the family.

For a child under the age of 18 living in Israel and not married.

Maternity - In Israel there are benefits given to parents due to the birth of a child. Those benefits are detailed under the definition of "Maternity", and will appear in this document in "text box":

- **Hospitalisation grant** – a grant given to the hospital due to hospitalisation in connection with giving birth.
- **Birth grant** – a grant given to the woman giving birth.
- **Birth allowance** – an allowance given due to the birth of 3 or more children in one birth.
- **Maternity allowance and vacation pay** – allowances given due to the maternity leave.
- **Risk pregnancy benefit** – a benefit given during the pregnancy for a woman in risk due to her pregnancy.

6.1 Conditions for receipt

Child allowance:

Insurance contributions (NOT CONDITION FOR RECEIPT!):

	<u>Full rate</u>	<u>Reduced Rate</u>
Employee		No Payment
Employer	2.08%	1.32%
Self Employed	2.40%	1.32%
Other Insured	2.64%	1.10%
Government:		
For employee	0.08%	0.08%
For self employed	0.08%	0.08%

Government participation: 170.3% of insurance contribution receipts, funds study grants and payments to new immigrant children.

Maternity: Government participation: the government participates in paying the birth allowance and the hospitalization grant.

	<u>Full rate</u>	<u>Reduced Rate</u>
Employee	0.87%	0.04%
Employer	0.40%	0.11%
Self Employed	0.82%	0.56%
Other Insured	0.26%	0.11%
Government:		
For employee	0.09%	0.09%
For self employed	0.09%	0.09%

Ministry of Defense: maternity allowance to woman soldiers – a woman soldier who gave birth during her army service is entitled to allowance, funded by the Ministry of Defense

Conditions of entitlement:

- An Israeli resident, age 18 and over.
 - *An insured person with at least one child;*
- Or**
- *An insured person who supports a child who is not his for at least 12 months.*

Maternity:

• **Hospitalisation grant, Birth grant and Child Birth allowance:**

- An insured woman or a wife of insured person, even if she gave birth outside Israel.

Or:

- Employee or self employed woman working in Israel or the wife of an employee or self employed person.
- Need to be hospitalized in connection with giving birth.
- Working in Israel for at least 6 month immediately preceding the birth even if not residents in Israel provide she gave birth in Israel.
- The above does not apply to a person living in an area or in territories of the autonomy who is not an Israeli resident – all as defined under the Law.

• **Maternity allowance and vacation pay:**

- An employee or self employed woman;
- Ages 18 and over;
- Working in Israel;
- A woman aged 18 or over in vocational training;
- A woman employee working abroad – under certain conditions.

- **Qualifying period:**

For maternity allowance for mother or father:

The period of payment of insurances contributions for the employee or by self-employed: for 10 out of the 14 months or for 15 out of the 22 months preceding the *determining date*. (Comment: I erased the text on "maternity allowance for father" because it appears again on page 21.

For maternity allowance for mother only: Also for 6 out of the 14 months preceding the *determining date*.

Determining date - The day on which the insured woman ceased working while pregnant.

- **Risk pregnancy benefit:**

- A resident of Israel;
- Employee or self employed woman;
- Absence from work due to a medical condition endangering the insured woman or her foetus;
- Qualifying period up to *determining date* for risk pregnancy:
- A period of precautionary rest of at least 30 consecutive days due to risk pregnancy;
- Non-receipt of payment for risk pregnancy from any other source.

Determining date for risk pregnancy – The day on which the insured woman ceased working due to need for precautionary rest as result of risk pregnancy.

Calculation of benefit amount

6.2.1 *Calculation of gross benefit*

Child allowance:

For a child born up to June 1, 2003:

- For the first child – the *basic amount* [2] (basic amount: NIS 140);
- For the second child – NIS 140;
- For the 3rd child – NIS 172;
- For the 4th child – NIS 336;
- For the 5th and each additional child – NIS 354

For a child born on or after June 1, 2003:

- For the first child – the *basic amount* [2];
- For the 2nd, 3rd and 4th child – NIS 140;
- For the 5th and each additional child – the *basic amount* [2].

Maternity:

Both employees and self-employed women who work in Israel are entitled, upon giving birth, to a maternity allowance from the National Insurance Institute for the period of their maternity leave from work.

- **Hospitalisation grant:** a sum set in the regulations and updated from time to time.

- **Birth grant:** 20% of the *basic amount [1]* for one child who is the first child of the family, 9% of the *basic amount [1]* for one child who is the second child of the family, 6% of the *basic amount [1]* for one child who is the third or subsequent child of the family; 100% of the *basic amount [1]* for twins and 50% an additional 50% of the *basic amount [1]* for every additional child born in the same birth.

- **Birth allowance:**

Maternity allowance and vacation pay: 100% of the average daily income liable for insurance contributions of the entitled person in the three-month preceding the *determining date*.

For a period of 14 weeks – if insurance contribution were paid for 10 months out of 14 or for 15 months out of the 22 months preceding the *determining date*.

For a period of 7 weeks (for mother only) – if insurance contribution were paid for 6 months out of 14 or for 15 months out of the 22 months preceding the *determining date*

- **Risk pregnancy benefit:** for every day of precautionary rest due to risk pregnancy, the sum which is the lower of the following:
 1. A sum equivalent to the *basic amount [1]*, divided by 30.
 2. The insured woman's income in the 3 months preceding the day of her cessation of work, divided by 90.

6.2.2 Income and earning disregards

6.3 Tax treatment of benefit and interaction with other benefits

Child allowance: is not considered as an income and therefore it is not deductible.

Maternity:

The maternity allowance, vacation pay and risk pregnancy benefits:

The taxes are at the rate of the parallel income amount received from work.

National insurance contributions are deducted from these benefits at the rate detailed in the table at the end of this document.

Health insurance contributions are deducted from these benefits at the rate of a parallel income received from work.

6.4 Treatment of particular groups

6.4.1 Young persons

None

6.4.2 Older workers

None

6.4.3 Others if applicable

- a. Increment to child allowance:** paid to large families (families with three or more children) that receive a *subsistence benefit* (income support, alimony, disability, old age, or survivors) from the NII, for the third and fourth children in the family, at the rate of 0.70 of the *basic amount* [2] (*basic amount* [2]: NIS 140) for each child
- b. Study grant:** paid for every child between the age of 6 and 14 years in entitled families, at the beginning of the school year. The grant is at the rate of 18% of the *basic amount* [3] (basic amount: NIS 8,648), for children aged 6-11 and at the rate of 10% of the *basic amount* [3] for children aged 12-14.

The following families are entitled to a study grant:

- A lone-parent family;
- A family with 4 or more children that receives *subsistence benefit*;
- A child orphaned from both parents;
- An abandoned/orphaned child as defined in the Income Support Law;
- A child who immigrated to Israel without an insured parent;
- A woman residing in a shelter for battered woman, under certain conditions;
- A person who receives an income support benefit separately from his/her spouse;

a. Adopting parent and intended parent –

Condition of entitlement:

Adoption a child under 10 years old or having a child through surrogacy.

Entitlement to vacation pay: cessation of work due to adoption of a child or having a child through surrogacy.

Grant: equivalent to the birth grant according to the number of children under 10 years old who were adopted on the same day or according to the number of children born through surrogacy (or surrogacy and regular birth) in adjacent births of up to two months between them.

b. Childbirth allowance - A birth of 3 or more children of whom at least 3 remained alive at the end of the 30 day period immediately following the birth, on condition that the mother is entitled to maternity grant.

The allowance payment calculation – a percentage of the *basic amount* [1: NIS 8,757, for 20 months.

c. Maternity allowance:

For father:

- The completion of a qualifying period up to *determining date*.
- Employer's authorization of father's maternity leave
- Father's maternity leave of at least 21 consecutive days.

Furthermore, the mother must be entitled to maternity leave of at least 14 weeks from the birth, agree waive part of her maternity leave, and return to work not before the end of 6 weeks from the birth – all this, unless she is not able to take care of the child due to her medical condition.

d. Special hospitalisation grants:

- A mother who gave birth to more than one child, and she or her child is hospitalized during her maternity leave for a period of more than 2 weeks: entitled to maternity allowance for a longer period – according to conditions determined by law.
- A mother, who gave birth, and she or her child is hospitalized during her maternity leave for a period of more than a week: is entitled to split up her maternity leave.

e. A special allowance and special benefit:

Due to the death of the mother while giving birth or within a year of giving birth, who was insured for maternity grant:

For every child who was born in that birth at the rate of 30% of the average wage for a period of 24 months, or if survivors' or dependents' benefit is paid for him – for a period of 12 months.

A special benefit to her widower if he stop working to take care of the child – at a rate of the injury allowance, for a period of up to 12 weeks.

7. Childcare for pre-school children

Fraction of children in child care by child's age and type of childcare available:

CHILDREN IN KINDERGARTENS (INCL. DAY-CARE CENTRES), BY OWNERSHIP AND CHILD'S AGE									
(1) ABSOLUTE NUMBERS									
Year	2011/12								
Child's age	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)						
GRAND TOTAL (4)	487,905	61,569	426,336						
2 years	66,447	22,069	44,378						
3 years	136,196	25,944	110,252						
4 years	140,782	11,173	129,609						
5 years	144,480	2,383	142,097						
Year	2010/11			2009/10			2008/09		
Child's age	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)
GRAND TOTAL (4)	477,320	66,951	410,369	470,025	43,289	426,736	458,215	50,407	407,808
2 years	64,004	21,929	42,075	67,490	26,196	41,294	65,012	25,578	39,434
3 years	131,797	28,420	103,377	118,456	14,763	103,693	121,564	16,752	104,812
4 years	140,092	13,388	126,704	124,373	2,330	122,043	129,430	6,288	123,142
5 years	141,427	3,214	138,213	139,105		139,105	142,209	1,789	140,420
Year	2006/07*			2005/06			2004/05		
Child's age	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)
GRAND TOTAL (4)	434,497	44,149	390,348	392,646	25,910	366,736	387,914	12,465	375,449
2 years	60,227	22,939	37,338	51,026	14,153	36,873	39,183	5,984	33,199
3 years	118,280	14,205	104,075	100,869	8,528	92,341	106,030	4,506	101,524
4 years	123,072	4,955	118,117	113,410	2,778	110,632	117,051	1,596	115,455
5 years	132,868	2,050	130,818	127,341	451	126,890	125,650	379	125,271

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*The sample frame in 2006/07 has been changed from 1000 to 3000.									
Year	2003/04			2002/03			2001/02		
Child's age	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)
GRAND TOTAL (4)	373,211	14,351	358,861	386,737	13,408	373,329	358,163	13,345	344,818
2 years	34,977	6,991	27,986	29,567	6,777	22,790	29,849	6,718	23,131
3 years	101,438	5,144	96,294	116,343	4,595	111,748	106,846	4,677	102,169
4 years	112,432	1,769	110,664	115,332	1,593	113,739	112,454	1,599	110,855
5 years	124,364	447	123,917	125,495	443	125,052	109,014	351	108,663
Year	2000/01			1999/00			1998/99		
Child's age	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)
GRAND TOTAL (4)	351,403	24,489	326,914	349,864	24,354	325,510	342,472	23,613	317,859
2 years	38,229	12,731	25,498	62,737	10,785	51,952	61,306	11,351	49,955
3 years	98,427	8,781	89,646	84,873	9,007	75,866	84,621	8,653	75,968
4 years	97,842	2,460	95,382	98,282	3,538	94,744	90,454	3,671	86,783
5 years	116,905	517	116,388	103,972	1024	102,948	106,091	938	105,153

The data regarding private kindergartens are based on a survey conducted by the CBS. As of 2006/07, the setting of private kindergartens has been changed, and is based mainly on the kindergartens appearing in the CBS Business Register. In 2010/11, a survey was conducted among a sample of private kindergartens. The survey continued from January 2011 to August 2011, and included 1,396 kindergartens, of which 887 responded. Of 509 that did not respond, 378 were not kindergartens, 111 were not located, and 20 did not respond for other reasons. Since 2010/11, the sampling method has been based on size strata in geographic units as follows: Every urban locality with 20,000 residents and over; and every district combined with smaller Jewish urban localities, Jewish rural localities and small Arab localities, due to the fluctuations absorbed in the private kindergartens data, the sampling method has been modified, in order to obtain more reliable estimators.

According to the decision of the Israeli government, the state provides free education from the beginning of the 2012/13 school year, 08/27/2012, for pre-school children aged 3-4 in the public kindergartens.

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Out-of-pocket childcare fees paid by parents

The latest data are for 2012.

Average expenditure on education service (families with children aged 0-15 years)*

	2012		2011		2010	
	net money income		net money income		net money income	
	NIS	% from income	NIS	% from income	NIS	% from income
Total	580	3.74%	509	3.48%	516	3.70%
Day nursery	1,341	8.65%	1,230	8.42%	1,185	8.50%
Private kindergartens	1,422	9.17%	1,200	8.21%	1,266	9.08%
Pre-compulsory kindergartens	465	3.00%	531	3.64%	554	3.97%
Compulsory kindergartens	379	2.44%	285	1.95%	260	1.86%
Elementary school	437	2.82%	344	2.36%	371	2.66%
Intermediate school	329	2.12%	274	1.87%	274	1.97%
Afternoon education	759	4.90%	667	4.57%	668	4.79%

	2009		2008		2007	
	net money income		net money income		net money income	
	NIS	% from income	NIS	% from income	NIS	% from income
Total	503	3.66%	463	3.52%	461	3.79%
Day nursery	1,145	8.34%	1,131	8.60%	1,195	9.81%
Private kinder garden	1,297	9.44%	1,052	8.00%	1,072	8.80%
Pre-compulsory kinder garden	462	3.36%	470	3.57%	470	3.86%
Compulsory kinder garden	298	2.17%	234	1.78%	256	2.10%
Elementary school	358	2.61%	340	2.59%	330	2.71%
Intermediate school	265	1.93%	226	1.72%	231	1.89%
Afternoon education	656	4.78%	593	4.51%	618	5.07%

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	2006		2005		2004	
	net money income 11,587.9		net money income 11,230.5		net money income 10,409.8	
	NIS	% from income	NIS	% from income	NIS	% from income
Total	414	3.57%	415	3.70%	394	3.78%
Day nursery	1,159	10.00%	1,088	9.69%	1,000	9.61%
Private kindergarten	1,147	9.90%	890	7.92%	828	7.96%
Pre-compulsory kindergarten	424	3.66%	369	3.29%	399	3.84%
Compulsory kinder garden	247	2.13%	225	2.00%	231	2.22%
Elementary school	257	2.22%	286	2.54%	294	2.82%
Intermediate school	219	1.89%	200	1.78%	223	2.15%
Afternoon education	542	4.68%	498	4.43%	489	4.70%
*The average expenditure is calculated for the families paying the fee in each group.						

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Until August 27th, 2012, the fee for a pre-compulsory kinder garden (ages 3-4) owned by local authorities, women's organisations (such as Wizo, Na'amat, etc.) and other authorities, is determined by the Ministry of Education. The basic fee was NIS 800 for a school day from 7:30-14:00.

The reduction percentage benefit is due to the average monthly gross income per person (including child allowance) as follows:

Average gross income per person (NIS)	Paying Rank (%)
1336–0	10
1446–1337	20
1568–1447	30
1684–1569	40
1831–1685	50
1920–1832	60
2038–1921	70
2233–2039	80
2279–2234	90
Above2280	100

The maximum income amount for receiving this benefit from the Ministry of Education is NIS 1,494 (rank 4). Local authorities can fund benefits (beyond the rates given by the Ministry of Education) at their own expense.

Participation in the pre-compulsory kinder garden tuition by the Ministry of Education also takes into account the following circumstances.

1. Area of residency – for the parents living in *preferred area A* and *B* are entitled to a full refund of the tuition.
2. Distressed neighbourhoods, children from age four, living in distressed neighbourhoods as defined by the ministerial commission for distressed neighbourhoods, are entitled to 90% refund of the tuition.

7.1 Child-care benefits

There are no cash benefits received by parents for children in childcare.

7.2.1 Conditions for receipt

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 Tax treatment of benefit and interaction with other benefits

7.2.4 Treatment of particular groups

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8. Employment-conditional benefits

None

9. Lone-parent benefits

There are no specific defined benefits for lone parents. However there are special conditions and rates for lone parents in some benefits. Those are detailed in this document in the "other groups" section of each chapter, under the "treatment of particular groups" headline.

10. Tax system

The Tax System's administrative structure

There are four **administrative authorities that are involved in determining tax policy and the policy for obligatory payments** as well as regarding their imposition, collection and enforcement:

1. Government offices
2. The National Insurance Institute
3. Local authorities
4. Other statutory bodies

Government offices

Ministry of Finance

State Revenue Administration

The State Revenue Administration is a coordinating branch within the Ministry of Finance that coordinates all issues dealing with state revenues and the tax system.

The Israeli Tax Authority

The Israeli Tax Authority is charged for collecting direct taxes, real property taxes, and indirect taxes. The Tax Authority is also responsible for the implementation and enforcement of the importation rules.

Additional government ministries dealing with collection

There are number of government ministries that collect fees and obligatory payments, which are paid for licenses or services that they provide. These include the Ministry of Transportation, the Ministry of Justice and the Ministry of the Internal Security.

The National Insurance Institute

The National Insurance Institute collects obligatory payments by virtue of the National Insurance Law (1995) and by virtue of the National Health Insurance Law (1994). The National Insurance Institute is under the supervision of the Minister of Welfare and Social Services, who is charged with the implementation of the National Insurance Institute Law and is authorized to enact regulations pursuant to that Law.

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The Minister of Welfare and Social Services chairs the National Insurance Institute Council, whose members include fifty representatives of workers' and employers' organizations, of government ministries and of the public.

The Local Authorities

In 2012, there were 257 local authorities in Israel, of which 76 were cities, 126 were local councils and 54 were regional councils.

Local authorities in Israel collect municipal property taxes, fees and betterment charges on properties within their jurisdictions. Each Local authority has its own tax administration.

The local authorities' income amounted to NIS 16.4 billion in 2007.

Other statutory bodies

Additional statutory bodies, such as the Israel Post Office, the Ports Authority and the Airports Authority collect fees and charges.

Taxes

1. Direct taxes

Three types of direct taxes are imposed on income:

- Income tax
- Capital gains tax
- Real estate tax

2. Indirect taxes

Indirect taxes apply to both locally produced goods and services and imported goods and services. In most cases, these are consumption taxes are imposed on the final consumer.

Taxes on locally produced goods and services

There are three types of taxes on locally produced goods and services:

- Value added tax (VAT)
- Purchase tax
- Fuel excise tax

Taxes on imports

There are three types of taxes imposed on imports:

- Customs
- Purchase tax
- VAT

10.1 Income tax

Taxation of current income (personal income tax)

Personal income tax in Israel for both employed and self-employed is a progressive tax starting at the rate of 10% and increasing to a maximum rate of 50%.

Israel income tax brackets for individuals (2014):

Tax (%)	Income per year (NIS)
10%	1-63,360
14%	63,360—108,120
21%	108,120—168,000
31%	168,000—240,000
34%	240,000—501,960
48%	501,960—811,560
50%	811 560 and over

10.1.1 Tax allowances and credits

Allowance points are granted on the tax due which reduces the tax payable. An *allowance point* is worth NIS 2,616 per year (NIS 218 per month).

10.1.1.1 Standard allowances

The main allowance points are given in the following table:

Subject	No. Of allowance points
Israeli resident	2.25
Woman	0.5
Child under the age of 18 (allowance to the mother)	1.0
Child under the age of 5 (allowance to the mother)	1.0*
Child under the age of 3 (allowance to the father)	2.0

*The mother of the child under the age of 5 receives an additional credit point.

10.1.1.2 Standard tax credits

10.1.2 Income tax schedule

The employer deducts tax due from his employees at source. The employer transfers the tax to the income tax on the 15th of the month for preceding period. Employers who have a large number of employees report to the Tax Authority once a month, while employers with a lesser number of employees submit their returns once every two months (for example: a small employer submits a return for January

and February on March 15). Self-employed persons pay an advance to the Income Tax Authority on the 15th of the month. The advance is calculated by the Tax Authority according to the figures in annual report submitted for the previous year.

Earned income tax credit

A non-wastable earned income tax credit was implemented in 2008 in selected geographical areas of Israel covering 15 % of the population. Entitlement to this credit is established based on earnings in the previous year. The tax credit was extended to all areas of Israel in 2012 (based on the earnings in 2011 and therefore we already included it in the 2011 version of the model). For mothers of children up to the age of 2 and for single parents the full coverage started in 2011 (based on earnings in 2010).

Under the law, workers aged 23 or more who are parents of one or two children aged less than 18 (or workers aged 55 or more even without children), and earn at least ILS 2 070 per month (about 45 per cent of the minimum wage) but not more than ILS 6,240 per month are eligible for a monthly increment of up to ILS 330. The corresponding figure for a family with 3 or more children is ILS 480. These sums were increased by 50 % in 2013 (based on earnings in 2012), for working mothers and fathers in one-parent family. Families in which both parents work, and their joint income does not exceed ILS 12 000, will be entitled to these benefits for each wage-earner. The grant will be paid four times a year directly into the account of the eligible persons.

10.1.3 State and local income taxes

Municipal Taxes

There is no local tax imposed on income. Nevertheless, the local authority collects taxes according to the area (square meters) of the premises. The amount of the taxes is influenced only by the size and area of the premises.

10.2 Treatment of family income

The tax unit is the individual. Credit points are given due to several family employment conditions, to one specific family member (mother/father/husband/wife)

10.3 Social security contributions and payroll taxes

National Insurance

Every resident of Israel aged 18 and over is obligated under law to be insured by National Insurance and to pay the national insurance contributions.

The rate of the monthly payment for a self-employed person amounts to a maximum of 16.23% on a maximum monthly income of NIS 42,435. (In excess of this sum, there is no additional payment to National Insurance).

Health Insurance

Since 1.1.1995 every Israeli resident is insured in National Health Insurance. Therefore every resident must be registered in one of the health maintenance organization, HMO. The insured person can select the HMO as he wishes. The HMO must provide a "basket" of health services as determined by law.

According to the law every Israeli resident must pay contributions for health insurance. These contributions are collected by the NII, which distributes the monies collected to the various HMO's. Rates are calculated according to the insurer's earned and unearned income and according to his work

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status at a rate determined by law. A person who does not work and has no income pays the minimum payment at the amount of NIS 103.

The following table indicates the rates of insurance contributions paid by the employer and the employee as of January 2014:

Insurance Contribution Rates in 2014

Insurance branch	Employee						Self-employed	
	Total ²		On employee's account		On employer's account			
	full rate	reduced rate ²	full rate	reduced rate ²	full rate	reduced rate ²	full rate	reduced rate
Old-age and Survivors	5.89	1.52	3.85	0.22	2.04	1.30	5.21	3.09
Long-term Care	0.28	0.05	0.14	0.01	0.14	0.04	0.18	0.12
General Disability	2.28	0.37	1.86	0.11	0.42	0.26	1.86	1.11
Accident Injury	0.10	0.02	0.07	0.01	0.03	0.01	0.08	0.06
Work Injury	1.47	0.37	--	--	1.47	0.37	0.68	0.39
Maternity	1.27	0.15	0.87	0.04	0.40	0.11	0.82	0.56
Children	2.08	1.32	--	--	2.08	1.32	2.40	1.39
Unemployment	0.33	0.04	0.21	0.01	0.12	0.03	--	--
Bankruptcy	0.03	0.01	--	--	0.03	0.01	--	--
Total Insurance Branches	13.75	3.85	7.00	0.40	6.75	3.45	11.23	6.72
Health	5.00	3.10	5.00	3.10	--	--	5.00	3.10
Total Contributions	18.75	6.95	12.00	3.50	6.75	3.45	16.23	9.82

¹ These rates include the share of the employee and the employer in payment of insurance contributions. In addition, the government participates in the financing of the insurance branches instead of the employer at a rate of 0.6% and instead of the self-employed at a rate of 0.59%.

² On income of up to 60% the *averages wage*.

10.3.1 Contributions paid by employees

The employer is required to report on all his employees and their wages and to deduct national and health insurance contributions from their wages.

On the share of the employee's wages that is under 60% of the *average wage*, insurance contributions are deducted at a total rate of 3.50% (as of 1.1.2008): national insurance contributions at a rate of 0.40% and health insurance contributions at a rate of 3.10%.

On the share of the employee's wages that is 60% or over of the *average wage*, insurance contributions are deducted at a total rate of 12.00% (as of 1.1.2008): national insurance contributions at a rate of 7.00% and health insurance contributions at a rate of 5.00%.

10.3.2 Contributions paid by employers

In addition to deducting the insurance contributions from the wages of his employees, the employer must pay insurance contributions from his own income for the various insurance branches – at amounts indicated in the different chapters.

10.4 Treatment of particular groups

10.4.1 Young persons

One credit point to person 16-17 years old.

10.4.2 Older workers

There are special tax brackets for incomes of the elderly.

10.4.3 Others if applicable

The following groups receive credit points above the standard credit points:

For example:

- A woman is entitled to 0.5 credit point.
- Lone-parent families are entitled to 1.0 credit point
- A new immigrant is entitled to 1-3 credit points.
- Couples living apart are entitled to participation in childcare.
- A demobilized soldier is entitled to 2.0 credit points.
- Graduates of academic studies are entitled to 0.5 credit point
- Ext.

11. Part-time work

11.1 Special benefit rules for part-time work

Part-time workers are entitled to national and health insurance benefits under the same schemes as are full-time workers. They have to fulfill the same qualifying conditions in order to be entitled to any of the above-mentioned benefits.

11.2 Special tax and social security contribution rules for part-time work

There are no special rules for part-timework.

12. Policy developments

Regarding the tax system in Israel:

In Israel tax is levied on personal basis. Israelis pay taxes on all sources of income, both in Israel and abroad. Foreign residents pay taxes only on income derived in Israel, all subject to the conventions for the avoidance of double taxation.

- In 2013 Israel's corporate income tax rate is 25%

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- Individual income tax rates in 2013 are 10%-50%
- Income tax rate on stock exchange gains 25%

There are reduced tax rates for passive income abroad.

There is an exemption from capital gains for foreign investors, subject to certain conditions.

The corporate income tax will go up to 26.5% in 2014.

VAT rates:

- Until 30.6.2009 – 15.5%
- From 01.07.2009 until 31.12.2009 – 16.5%
- From 01.01.2010 until 31.08.2012 – 16%
- From 01.09.2012 until 31.05.2013 – 17%
- From 01.06.2013 until 30.9.2015 – 18%
- From 1.10.2015 – 17%

12.1 Policy changes introduced: 2nd July 2013 – 1st July 2014

On July 30th, 2012 the Cabinet approved a package of steps in order to reduce the deficit:

- 1% VAT (up to 17%), beginning on September 1, 2012;
- Increasing income tax by 1% - for those earning NIS 14,000 (apart from those earning over NIS 67,000 per month, whose tax will be increased by 2%);
- Increasing the employer's tax a year earlier than originally planned (0.6% in January 2013 instead of January 2014),
- Introducing a temporary provision whereby companies will be charged a reduced corporate tax on profits originating in a tax-free track. The law bill is expected to increase the State's revenues by approximately NIS 3 billion
- Increasing taxation on cigarettes and beer,
- Updating the green taxation formula for vehicles .

May 2013 – Increase in the Tax on cigarettes and other tobacco products

June 2013 – VAT rate increases to 18%

October 2015 – VAT rate decrease to 17%

12.2

Future policy changes announced since 1st July 2014

A. Tax system

July 2013 – Increase in the Tax on alcohol products

August 2013 – Increase in the Purchase tax on residential housing and land

January 2014 – Corporate income tax increases to 26.5%. Capital gains on Residential housing that were mostly tax exempt until now loses some of its tax benefits/

B. National Insurance Institute

Policy changes introduced during 2013-2014

UNEMPLOYMENT

A legislative amendment that came into force in March 2013 eliminates the distinction in the entitlement condition in the determination of wage for calculating benefits, between a monthly unemployed person and a daily unemployed person. From this date the qualifying period entitling to unemployment benefits is uniform – 12 months of work out of the 18 preceding the unemployment – and is not contingent on the number of working days per month. The basic wage for calculating unemployment benefits is the wage of the last six months (prior to the amendment the base was a wage of the last three months for a monthly worker and a wage of the last 75 actual days of work for a daily worker).

Unemployed persons who worked at daily jobs are the disadvantaged population in the job market. Already before the transition to a five day work week their situation was difficult – they were required to accumulate days just as monthly workers. The shortening of the work week made it twice as difficult for them, since a work month for monthly workers is approximately 21 days and for them it is 25. The legislative amendment redressed the injustice caused to them: the period entitling to unemployment benefits was made uniform and was set at 12 months of work (regardless of the number of working days in the month) out of the 18 months preceding the unemployment.

CHILDREN

In July 2013, in the framework of the Economic Efficiency Law, it was decided to institute a sharp and immediate cutback of the child allowance amounts for all children, so that except for the allowance for older children (children born before 1.6.2003), whose sequential number in the family is third or subsequent born, the allowance amount for all children was uniformly set. For the “older children”, the allowance was cutback in a manner identical to the that of the allowance of the “new children” (children born subsequent to June 1, 2003) who are third or subsequent born. The change began to be applied in August 2013.

MATERNITY

No policy changes